

where it does not appear that the executor has made greater interest, for the Court invariably compels the executor to account for every farthing he has actually received (*h*).

[*341] *13. **Under what circumstances trustees will be charged with extra interest.** — It is not easy to define the circumstances under which the Court will charge executors and trustees with *more than 4 per cent.* interest or with *compound* interest. In a late case it was laid down by Sir John Romilly, M. R.: 1. That if an executor retain balances in his hands, which he ought to have invested, the Court will charge him with simple interest, at 4 per cent. 2. That if, in addition to such retention, he has *committed a direct breach of trust*, or if the fund has been taken by him from a proper state of investment, in which it was producing 5 per cent., he will be charged with interest after the rate of 5 per cent. per annum. 3. That if in addition to this, he has employed the money so obtained by him in trade or speculation, for his own benefit or advantage, he will be charged either with the profits actually obtained from the use of the money, or with interest at 5 per cent. per annum, and also with yearly rests, that is, with compound interest (*a*).

14. **Trustee charged with 5 per cent. where gross misconduct.** — The dicta and decisions undoubtedly seem to establish, in accordance with the view just quoted, that an executor will be charged with interest at 5 per cent. where he is guilty, not merely of negligence, but of actual corruption or misfeasance, amounting to a wilful breach of trust (*b*). But in *Attorney-General v. Alford* (*c*), Lord Cranworth expressed

(*h*) *Forbes v. Ross*, 2 Cox, 116, *per* Lord Thurlow; *In re Hilliard*, 1 Ves. jun. 90, *per eundem*; *Hankey v. Garret*, 1 Ves. jun. 239, *per eundem*; *Brown v. Litton*, 10 Mod. 21, *per* Lord Harcourt; *Hall v. Hallet*, 1 Cox, 138, *per* Lord Thurlow.

(*a*) *Jones v. Foxall*, 15 Beav. 392; and see *Saltmarsh v. Barrett* (No. 2), 31 Beav. 349; [*Gilbert v. Price*, W. N. 1878, p. 117. In Jamaica interest at the rate of 6 per cent. per annum will be allowed; *De Cordova v. De Cordova*, 4 App. Cas. 692.]

(*b*) *Tebbs v. Carpenter*, 1 Mad. 306, *per* Sir T. Plumer; *Bick v. Motley*, 2 M. & K. 312; *Mousley v. Carr*, 4 Beav. 53, *per* Lord Langdale; and see *Crackelt v. Bethune*, 1 J. & W. 588; *Docker v. Somes*, 2 M. & K. 670; *Munch v. Cockerell*, 5 M. & Cr. 220; *Ex parte Ogle*, 8 L. R. Ch. App. 716; *Hooper v. Hooper*, W. N. 1874, p. 174. But see *Meador v. McCready*, 1 Moll. 119.

(*c*) *Attorney-General v. Alford*, 4 De G. M. & G. 851, 852; and see *Vyse v. Foster*, 8 L. R. Ch. App. 333; affirmed 7 L. R. H. L. 318.